Exchange Rates

Exam code: 0607

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Written by: Jamie Wood
Reviewed by: Dan Finlay
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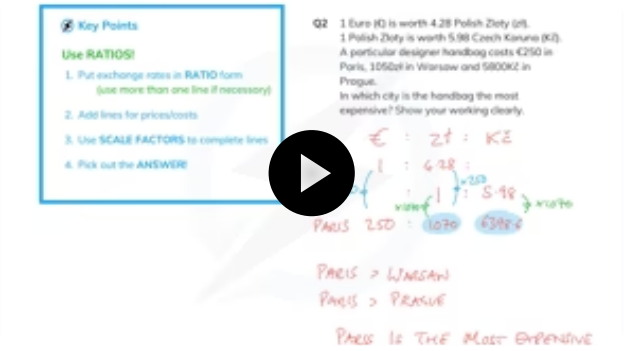

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Exchange rates

Exchange rates are used to **compare** and **convert** between **different currencies**.

How do I convert between currencies?

- Start by writing the **exchange rate**
  - £1.00 (GBP) = €1.17 (EUR)
- To convert **from GBP to EUR**, **multiply** by 1.17
  - Because 1.00 × 1.17 = 1.17
- To convert **from EUR to GBP**, **divide** by 1.17
  - Because 1.17 ÷ 1.17 = 1.00
- To find £28 in Euros
  - 28 × 1.17 = €32.76
- To find €75 in Pounds
  - 75 ÷ 1.17 = £64.10 (to the nearest penny)

Help me understand

Stuck on something?
Ask questions and get help with exactly what you're revising.
Got it

Examiner Tips and Tricks

- Work out the value if multiplied, and write it down
- Work out the value if divided, and write it down
- Look at the exchange rate and consider if you are expecting a bigger number than the original, or a smaller number
- Select the correct answer!

Worked Example

On a particular day, the exchange rate from US Dollars to Japanese Yen is:

1 US Dollar = 155.62 Japanese Yen

and the exchange rate from Australian Dollars to Japanese Yen is:

1 Australian Dollar = 102.09 Japanese Yen

An item costs **40 US Dollars**.

Find the cost of the item in **Australian Dollars**.

Answer:

The first exchange rate is 1 US Dollar = 155.62 Japanese Yen
So to convert from US Dollars to Japanese Yen, multiply by 155.62

40 × 155.62 = 6224.80 Japanese Yen

The second exchange rate is 1 Australian Dollar = 102.09 Japanese Yen
So to convert from Japanese Yen to Australian Dollars, divide by 102.09

6224.80 ÷ 102.09 = 60.9736... Australian Dollars

Round to 2 decimal places as we are dealing with money

60.97 Australian Dollars

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